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UNITED STATES DISTRICT COURT

CENTRAL DISTRICT OF CALIFORNIA

STEPHEN VARELA, Plaintiff, v. ACCURATE BACKGROUND, INC., Defendant.	Case No. 5:26-cv-00258-KK-DTB Honorable Kenly Kiya Kato **JOINT RULE 26(f) REPORT** **Scheduling Conference:** Date: May 7, 2026 Time: 10:00 a.m. Location: Courtroom 3

Plaintiff STEPHEN VARELA and Defendant ACCURATE BACKGROUND, LLC (incorrectly named "Accurate Background, Inc."), by their attorneys and pursuant to Rule 26(f) of the Federal Rules of Civil Procedure, Local Rule 26-1, and this Court's Order Setting Scheduling Conference (ECF No. 14), hereby submit their Joint Rule 26(f) Report following conference of counsel on April 17, 2026:

1. Statement of the case.

Plaintiff: This action arises from Accurate's reporting of inaccurate criminal record information on a consumer background check report prepared on Plaintiff for the purpose of assessing his suitability for employment with non-party Jeronimo Logistics, LLC ("Jeronimo"). In September 2025, Plaintiff applied for a position with Jeronimo. On or about September 4, 2025, Accurate issued a background check report on Plaintiff that contained a felony conviction for which Plaintiff was released from prison in 2017—a conviction older than seven years. Under California Civil Code Section 1786.18, criminal convictions older than seven years are prohibited from being reported for positions that pay less than $125,000 per year, and Plaintiff's position with Jeronimo did not meet this salary threshold. Because of the inaccurate background check report, Plaintiff was not hired by Jeronimo. As a result, Plaintiff remained unemployed for approximately three months before finding another position, causing him significant financial hardship, emotional distress, and reputational harm. Plaintiff asserts claims against Accurate for negligent and willful violations of the Fair Credit Reporting Act ("FCRA"), 15 U.S.C. §

1681e(b), and the California Consumer Credit Reporting Agencies Act ("CCRAA"), Cal. Civ. Code § 1785.14.

Accurate: Plaintiff claims that Accurate negligently and willfully failed to "follow reasonable procedures to ensure maximum possible accuracy of the information concerning the individual about whom the report relates" in alleged violation of Section 1681e(b) of the FCRA and Section 1785.14 of the CCRAA. Accurate denies that it violated the FCRA or the CCRAA, and denies that it caused Plaintiff any damages. Accurate followed the requisite reasonable procedures at all times with respect to Plaintiff. Accurate also denies that Plaintiff is entitled to statutory or punitive damages because, at all times, Accurate engaged in good faith efforts to comply with the FCRA and the CCRAA, because Accurate's reading of its obligations under the FCRA and the CCRAA is and was objectively reasonable, and because any purported violations were not willful under the law. Accurate further contends that, any damages available to Plaintiff must be reduced by his failure to mitigate any such damages.

2. Subject matter jurisdiction.

This Court has jurisdiction over this action pursuant to 28 U.S.C. § 1331 because it arises out of a question of federal law, in particular, the FCRA. *See* 15 U.S.C. § 1681p. This Court has supplemental jurisdiction over Plaintiff's CCRAA claims pursuant to 28 U.S.C. § 1367.

3. Legal issues.

The parties identify the following key legal issues in this case:

- Whether Accurate's reporting was inaccurate;
- Whether Accurate negligently and/or willfully violated the FCRA by not following reasonable procedures to assure maximum possible accuracy of information on Plaintiff's background report;
- Whether Accurate violated the CCRAA by not following reasonable procedures to assure maximum possible accuracy of information on Plaintiff's background report;
- Whether Accurate's alleged violations of the FCRA and/or the CCRAA are a direct and proximate cause of Plaintiff's alleged damages;
- Whether Plaintiff mitigated, or attempted to mitigate, his alleged damages;
- Whether Plaintiff is entitled to statutory, actual and/or punitive damages under the FCRA or the CCRAA.

4. Parties and evidence.

The parties are Plaintiff and Accurate. Accurate is privately owned, and no publicly-traded company owns or controls ten percent (10%) or more of its stock.

The percipient witnesses identified to date include Plaintiff, Accurate's corporate representative(s), and non-party Jeronimo. The parties expect that they will identify additional witnesses during discovery.

The key documents identified to date include: (1) the background report that Accurate prepared on Plaintiff at the request of Jeronimo in September 2025 and documents related to the order, preparation, access, and use of that report; (2) Accurate's relevant policies and procedures relating to criminal record reporting; (3) communications between Plaintiff and Jeronimo or Accurate relating to Plaintiff's background report; (4) records relating to Plaintiff's employment; and (5) records relating to Plaintiff's alleged damages, including Plaintiff's mitigation efforts, if any. Accurate believes the latter includes records relating to: (1) the income, wages, and benefits that Plaintiff received or would have received from Jeronimo and other sources; (2) the employment opportunities, positions, and advancements that Plaintiff allegedly lost; and (3) Plaintiff's mental health (including relevant medical records and communications with third parties). The parties anticipate that discovery may reveal additional documents that are key to the parties' claims and defenses. Plaintiff disputes the scope of mental health discovery that Accurate identifies and does not agree that Accurate is entitled to broad "medical records and communications with third parties." Plaintiff will address the appropriate scope of any such requests through the meet-and-confer process and, if necessary, motion practice.

5. Damages.

Plaintiff: Plaintiff seeks actual damages including, but not limited to, lost wages and income resulting from approximately three months of unemployment following Jeronimo's refusal to hire Plaintiff due to the inaccurate background check report; lost

employment benefits; emotional distress, mental anguish, humiliation, and embarrassment caused by the denial of employment and the reporting of inaccurate criminal record information; and damage to Plaintiff's reputation. Plaintiff also seeks statutory damages of $100 to $1,000 per willful violation pursuant to 15 U.S.C. § 1681n(a)(1)(A); punitive damages pursuant to 15 U.S.C. § 1681n(a)(2) and Cal. Civ. Code § 1785.31(a)(2)(B); and reasonable attorneys' fees and costs pursuant to 15 U.S.C. §§ 1681n(a)(3), 1681o(a)(2), and Cal. Civ. Code § 1785.31(a). Plaintiff will supplement his computation of damages as discovery progresses and reserves the right to amend his damages claims based on information obtained through discovery. Plaintiff estimates his provable actual damages to be in the range of $15,000 to $50,000, exclusive of statutory damages, punitive damages, and attorneys' fees.

Accurate: Accurate denies that Plaintiff has suffered any damages as a result of Accurate's conduct. Accurate states that, regardless of causation, any actual damages alleged are minimal and Plaintiff should provide a computation of damages as required by Rule 26 of the Federal Rules of Civil Procedure and a realistic range of provable damages as required by this Court's Order. Such a computation and range will facilitate any potential settlement and will also allow the parties to focus their discovery on disputed damages. Accurate further states that Plaintiff cannot recover both actual damages and statutory damages, and statutory damages are limited to $100 to $1,000 under the FCRA. The CCRAA does not permit recovery of statutory damages, and the CCRAA limits punitive damages to a maximum of $5,000. Accurate reserves the right to

seek all appropriate costs and attorneys' fees in conjunction with this litigation. These costs and fees are continuing to accumulate at present. Therefore, a precise calculation of such amounts would be premature.

6. Insurance.

Plaintiff: Plaintiff is not aware of any insurance agreement under which an insurance business may be liable to satisfy all or part of a possible judgment in this action or to indemnify or reimburse for payments made to satisfy the judgment. Plaintiff reserves the right to conduct discovery on this issue.

Accurate: Accurate currently is unaware of any insurance agreement under which an insurance business may be liable to satisfy all or part of a possible judgment in this action or to indemnify or reimburse for payments made to satisfy the judgment.

7. Motions.

The parties do not anticipate filing a motion to add other parties or claims nor amending the complaint. However, Plaintiff reserves the right to amend the pleadings or add additional parties based on information learned through discovery by the designated deadline.

8. Manual for Complex Litigation.

The parties agree that this case does not warrant use of the Manual for Complex Litigation.

9. Status of Discovery.

The parties have exchanged Rule 26(a)(1) initial disclosures and exchanged written discovery requests.

10. Discovery Plan.

The parties do not anticipate the need to conduct discovery in phases or limit discovery to any particular issues, except as provided by the Federal Rules of Civil Procedure. The parties each expect to depose 2-3 witnesses, including Plaintiff and the corporate representatives of Accurate and Jeronimo, and any other witnesses identified in the parties' initial disclosures or additional witnesses identified during discovery. The parties expect to schedule depositions after completing written discovery.

The parties anticipate that discovery will focus on: (1) Accurate's reporting of the disputed criminal information; (2) Accurate's policies and procedures for criminal records reporting; (3) Plaintiff's communications with Jeronimo and Accurate; and (4) Plaintiff's work history, medical history related to mental health, and alleged damages.

The parties do not propose any modifications to the discovery rules, including to the disclosures required under Rule 26(a) of the Federal Rules of Civil Procedure.

11. Dispositive Motions.

Plaintiff: Plaintiff does not presently anticipate filing an early motion for summary judgment before conducting discovery. The parties anticipate that the following issues may be determined by dispositive motion after discovery is completed: whether Accurate

followed reasonable procedures to assure maximum possible accuracy in the preparation of Plaintiff's background check report; whether Accurate' s conduct was willful; and the scope of Plaintiff's recoverable damages. Plaintiff reserves the right to identify additional matters that may be resolved by motion as discovery progresses.

Accurate: Accurate states that the following issues can be determined by a motion for summary judgment or motion in *limine* (if the issues remain in dispute following discovery): whether Accurate followed the requisite reasonable procedures in the preparation of Plaintiff's consumer report and whether Accurate is entitled to judgment as a matter of law. During discovery, Accurate may identify additional matters that can be resolved by motion for summary judgment.

12. Settlement.

The parties have discussed the possibility of settlement. The parties request ADR through the Court's mediation panel.

13. Consent to Magistrate Judge.

The parties do not consent to trial before a Magistrate Judge.

14. Trial Estimate.

Plaintiff has requested a jury trial. The parties estimate that trial will take 2-3 days. Plaintiff estimates calling 2-3 witnesses. Accurate anticipates calling 2-3 witnesses.

15. Trial Counsel.

Stephen Jones will be lead trial counsel for Plaintiff. Jasmine Stanzick, or another attorney from Seyfarth Shaw LLP, will be trial counsel for Accurate.

16. Independent Expert.

This is not a case where the Court should consider appointing an independent expert or master.

17. Timetable.

The Schedule of Pretrial and Trial Dates Worksheet is attached hereto.

18. Other Issues.

None.

Respectfully submitted on April 23, 2026.

FCRA ATTORNEYS

By: */s/ Stephen T. Jones*
Stephen T. Jones

Attorneys for Plaintiff

SEYFARTH SHAW LLP

By: */s/ Jasmine Jane Stanzick*
Jasmine Jane Stanzick

Attorneys for Defendant

SIGNATURE CERTIFICATION

Pursuant to Local Rule 5-4.3.4, I hereby attest that all signatories indicated by a conformed signature (/s/) have concurred in the filing of this document.

/s/ Jasmine Jane Stanzick
Jasmine Jane Stanzick

CERTIFICATE OF SERVICE

I hereby certify that on April 23, 2026, I presented the foregoing document with the Clerk of the Court using the CM/ECF system, which will send notification of such filing to all counsel of record.

/s/ Jasmine Jane Stanzick
Jasmine Jane Stanzick